Rio Tinto Ltd. (RIO.AX): 2Q26 result: Big assets perform strongly, Fe & metal prices strong, although working cap builds US$1.2bn; Neutral

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RIO reported a solid June Q with group copper equivalent (CuEq) production up 3% YoY in 1H26, supported by the highest first-half Pilbara iron ore production since 2018, another strong result from Escondida, and a continued strong ramp-up of the Oyu Tolgoi copper/gold underground (1H +31% YoY). That said, group copper production of 213kt in 2Q was down 7% QoQ (below GSe and Visible Alpha Consensus Data), impacted by lower Kennecott output due to reduced concentrate availability, geotechnical issues, and a flash converting furnace breach in June (requiring a ~75-day rebuild). Realised pricing for Fe/Al/Cu was broadly in-line with our estimates. Notably, RIO cut copper C1 net unit cost guidance to US30-50c/lb (from US65-75c/lb), in-line with our prior forecasts of US43c/lb (vs. Visible Alpha Consensus Data at US51c/lb), on higher gold prices and productivity. All other production and sales guidance for 2026 was maintained. Working cap increased by US$1.2bn in the half and cash tax to Mongolia by ~US$0.44bn.

1H 2026 result preview

RIO will release 1H26 results on 29 July. We forecast underlying EBITDA US$14.9bn (vs. Visible Alpha Consensus Data of US$15.1bn; prior to the 2Q26 result), underlying earnings of ~US$6.2bn, and net debt of ~US$14.8bn, and an interim dividend of US$1.90/share (based on a payout ratio of 50%, policy: 40%-60%, final dividend typically ~70%). We expect an update on the US$5-10bn (vs GSe ~US$10bn) of non-core divestments and cost out initiatives that were announced at the CMD last year.

Key 2Q26 takeaways

- **Copper:** Consolidated copper production of 213kt was down 7% QoQ/YoY (below GSe and Visible Alpha Consensus Data). Oyu Tolgoi metal-in-concentrate of 97kt (+12% YoY) drove 1H growth of +31% YoY, remaining on track to reach ~500ktpa (100%) from 2028-2036. Kennecott refined copper of 20kt was down 49% YoY, impacted by reduced high-quality concentrate availability, mine resequencing, a June concentrator maintenance (23 days), an April safety stand-down and, critically, a flash converting furnace breach in late June requiring an ~75-day rebuild (which will reduce refined copper and gold production in 2H 2026.). Total copper production estimates for the year are unchanged (unsold matte to convert to cathode and contribute to 2027 cash flows). Escondida refined production rose on improved Full SaL leach performance. C1 net unit cost guidance was cut to US30-50c/lb (from US65-75c/lb) on higher gold prices (US$4,026/oz assumption) and productivity.

- **Resolution copper:** RIO commenced surface drilling in newly accessible areas following the land exchange, with underground drilling scheduled to commence in 3Q26 (in-line with the schedule in our recent deep dive report on the project) to support further resource definition and geological data collection.

- **Iron ore:** Pilbara production was stable YoY with 1H the highest since the 2018 record. 2Q Pilbara sales of 85.3Mt (100%) were up 7% YoY (+2% vs. GSe and Visible Alpha Consensus Data), the highest since 2020, with SP10 at 8% of sales. Pilbara unit cost guidance was held at US$23.5-25/t (vs. GSe at US$25.6/t) despite diesel headwinds, with the company noting a ~US$0.8/t YoY impact from diesel (excludes impacts from inflation and FX etc). RIO achieved Pilbara pricing of US$85.2/wmt FOB in 1H26 (vs US$83.2 in 1H25) above our US$82.4/t estimate. RIO noted port outload capacity will reduce to below 360Mtpa during some quarters in 2H 2026, 2027 and 2028 with several scheduled major capital projects underway (including Parker Point reclaimers) to improve system flexibility and prepare for Rhodes Ridge. We note RIO's medium term guidance of 345-360 vs. GSe at ~340Mtpa. IOC (Canada) production was down 22% YoY, with full-year shipments guidance (15-18Mt) subject to Canadian forest fire risk.
  - **Simandou:** 2Q production increased ~16% QoQ following the 1Q fatality, with a phased restart. The SimFer mine (~77% complete) and port/marine infrastructure (85% complete) are both progressing, though production remains constrained by temporary crushing facilities pending permanent plant delivery in 2H with first ore through the primary crusher expected 4Q 2026 and SimFer port commissioning in 1Q 2027. First customer collections completed in April with 2Q sales of 0.4Mt (100%) at 65.8% Fe. 7.6Mt of uncrushed ore stockpiled at the mine (9.6Mt across the system). Ramp-up toward full production rate (60Mtpa) is still expected in 2H 2028.

- **Aluminium:** production was flat QoQ/YoY, with Kitimat, NZAS and AP60 ramping and Arvida's final two potlines closed as planned in June. Bauxite recovered 14% QoQ. Alumina production reduced QoQ on reliability events at Yarwun and Vaudreuil. Tariff costs of US$773mn in 1H26 were in-line with our estimates and largely offset by a higher US Midwest premium (average MWP duty paid US$2,406/t). The US$1.5bn AP60 expansion was commissioned in May, with full ramp-up expected by end-2026.

- **Lithium:** Lithium Carbonate Equivalent (LCE) production rose 15% QoQ to 14.6kt (in-line with GSe), driven by the Rincon starter plant ramp-up and first tonnes delivered at Sal de Vida and Fénix 1B, both ahead of plan. RIO reported realised LCE price for the first time of US$18,960/t for 1H26.

- **Cashflow movements:** Oyu Tolgoi paid ~US$443mn in disputed Mongolian tax assessments in March (reserving its rights), and a ~US$1.2bn working capital outflow occurred in 1H (higher iron ore inventory post-cyclones and Simandou ramp). We forecast net debt of ~US$14.8bn as at 30 Jun 2026, increasing by ~US$500mn HoH.

EBITDA/NAV changes and Investment thesis

Overall, we adjust our 2026/27/28 EBITDA by -1%/1%/0% after incorporating the result and aligning to guidance, with our NAV largely unchanged at ~A$196/sh. Our 12-month price target is up marginally to A$178.9/sh (from A$178.4/sh).

We continue to **rate RIO at Neutral** based on:

1. **Attractive FCF and relative valuation, but prefer BHP on near term outlook/catalysts:** RIO is trading at ~0.85x NAV (~A$196/sh) vs. peers (BHP ~0.9x NAV and FMG ~1x NAV), and RIO.AX is trading at ~7x NTM EBITDA, in-line with BHP.AX on ~7x, and the 25-yr historical average of 6.5-7x, but still below pure play base metal companies. Additionally, FCF/dividend looks attractive at ~5% in 2026E (~6% at spot), driven by our bullish view on aluminium and copper (~45-50% of group EBITDA in 2026E, and ~60% by 2030E). However, we still prefer Buy-rated BHP on near term outlook/catalysts: Although valuations are comparable, with both stocks trading on ~7x EBITDA and ~0.9xNAV, and NTM EBITDA estimates are higher at spot commodity prices, we think BHP has more positive momentum near term with higher exposure to copper vs. RIO on an EBITDA basis (~50% vs. ~35%) and a stronger balance sheet (US$8.5bn net debt vs. RIO at ~US$14.8bn end of June 26). We think BHP's final dividend payout could be 60-65% with the FY26 results, and continue to think BHP can maintain a 60% dividend payout through the forecast dip in Cu Eq production in FY27.
2. **Compelling simplification strategy and medium term CuEq and EBITDA growth:** RIO maintains sector leading production and EBITDA growth over the medium term and should benefit from rising aluminium prices following major supply disruption from the Middle East. The company's compelling strategy remains unchanged, anchored on the 'stronger, sharper, simpler' agenda presented at the recent capital markets day, which includes US$5-10bn (vs GSe ~US$10bn) of non-core divestments and cost out. We forecast RIO's Cu Eq production to grow by ~10% and EBITDA by ~30% from 2025 to 2030, driven mostly by the ramp-up of the Oyu Tolgoi UG copper mine, higher grades at Bingham Canyon copper from 2027, the ramp-up of the Simandou iron ore mine in Guinea, higher Pilbara Fe shipments with the ramp-up of new mines, growth in lithium in Argentina, and a rebound in aluminium production. However, we forecast Cu Eq production growth of just ~1% p.a. over the next two years, and growth is mostly weighted to 2028-2030E. Longer dated growth projects include Resolution & La Granja copper and lithium options.
3. **Pilbara turnaround (~50% of group NAV) on track:** we see potential for FCF/t improvement in the Pilbara by 2028-2030 with the 5 replacement mines, and over the long run driven by Rhodes Ridge (first production expected ~2030-31). RIO's 2023 Pilbara visit outlined medium-term shipments guidance of 345-360Mtpa by 2028 (GSe ~340Mtpa by 2028 and ~350Mtpa by 2031 with Rhodes Ridge).
4. **Compelling high margin aluminium exposure:** Rio has the world's highest margin low emission aluminium business, with over 2.2Mt of Ali production powered by hydro. A +10% move in the aluminium price would result in a ~US$1.1bn or ~4% increase to NTM EBITDA.

Exhibit 1: RIO operating and financial summary

Commodity and FX assumptions		2024	2025	2026E	2027E	2028E	2029E	2030E
AUD:USD	**x**	**0.66**	**0.64**	**0.69**	**0.68**	**0.69**	**0.69**	**0.70**
CAD:USD	**x**	**0.73**	**0.72**	**0.72**	**0.72**	**0.73**	**0.75**	**0.76**
Iron ore fines (CFR, 62% Fe)	**US$/t**	**110**	**102**	**101**	**96**	**97**	**98**	**99**
Iron ore lump (CFR, 63.5% Fe)	US$/t	120	109	108	107	109	110	112
Bauxite	US$/t	64	79	67	70	70	70	70
Alumina	US$/t	502	386	318	355	370	380	406
Aluminium	**USc/lb**	**110**	**119**	**145**	**122**	**129**	**136**	**142**
Copper	**USc/lb**	**415**	**451**	**606**	**626**	**621**	**612**	**605**
Lithium carbonate	**US$/t**	**11,167**	**9,319**	**21,022**	**16,875**	**15,375**	**16,762**	**18,548**
Operating assumptions								
Production								
Iron ore - Pilbara Prod (RIO share)	Mt	278	280	284	289	292	291	287
Iron ore - Pilbara Sales (RIO share)	**Mt**	**277**	**279**	**281**	**289**	**292**	**291**	**287**
Iron ore - Pilbara Prod (100%)	Mt	328	327	333	337	342	341	343
Iron ore - Pilbara Sales (100%)	**Mt**	**329**	**326**	**330**	**337**	**342**	**341**	**343**
Guidance	Mt			323-338		Med term ~345-360		
IOC Canada	**Mt**	**9.4**	**9.3**	**8.7**	**9.3**	**9.4**	**9.4**	**9.4**
Guidance				8.9-10.6				
Simandou Prod (RIO share)	**Mt**		**1**	**4**	**13**	**22**	**27**	**27**
Simandou Prod (100%)	**Mt**		**2**	**8**	**29**	**48**	**60**	**60**
Simandou Sales (100%)			**0**	**6**	**28**	**48**	**60**	**60**
Copper - Mined (consolidated)	**kt**	**697**	**883**	**864**	**895**	**989**	**1,024**	**1,016**
Guidance				800-870				
Copper - Mined (equity)	**kt**	**624**	**766**	**726**	**748**	**813**	**832**	**826**
Copper - Refined (consolidated)	**kt**	**248**	**190**	**171**	**222**	**239**	**239**	**241**
Guidance								
Gold (mined)	**koz**	**352**	**619**	**633**	**414**	**447**	**478**	**516**
Bauxite	**Mt**	**59**	**62**	**60**	**61**	**62**	**61**	**62**
Guidance				58-61				
Alumina	**Mt**	**7.3**	**7.6**	**8.0**	**7.0**	**7.1**	**7.1**	**7.1**
Guidance				7.6-8.0				
Aluminium (excludes recycling)	**Mt**	**3.3**	**3.4**	**3.4**	**3.5**	**3.5**	**3.5**	**3.5**
Guidance				3.25-3.45				
TiO2 slag	**Mt**	**1.0**	**1.0**	**1.1**	**1.2**	**1.2**	**1.2**	**1.1**
Guidance								
Lithium carbonate (RIO share)	**kt (LCE)**		**56**	**61**	**88**	**120**	**150**	**172**
Lithium carbonate (100%)	**kt (LCE)**		**70**	**76**	**98**	**131**	**162**	**184**
				61-64				
CuEq Prod. (GS LR prices)	**Mt**	**4.51**	**4.94**	**4.98**	**5.09**	**5.34**	**5.46**	**5.47**
CuEq YoY %	**%**	**2.9%**	**9.7%**	**0.8%**	**2.1%**	**5.1%**	**2.2%**	**0.2%**
Unit Costs								
Pilbara Cash Costs (FOB)	**US$/t**	**23.0**	**23.5**	**25.6**	**25.1**	**24.6**	**24.9**	**24.1**
Guidance				23.5-25.0		Med term ~20 (real $)		
Aluminium	**USc/lb**	**98**	**124**	**126**	**129**	**134**	**140**	**127**
Alumina	US$/t	385	385	358	356	363	370	378
Bauxite (FOB)	US$/t	19	20	25	25	26	27	28
Copper	**USc/lb**	**151**	**96**	**34**	**102**	**92**	**90**	**89**
Guidance				30-50				
Financial summary	**Units**	**2024**	**2025**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Revenue	US$bn	53.7	57.6	60.4	60.1	64.2	66.9	67.2
Underlying EBITDA	**US$bn**	**23.3**	**25.4**	**29.1**	**27.6**	**30.3**	**31.2**	**32.4**
Margin	%	43%	44%	48%	46%	47%	47%	48%
Underlying earnings	**US$bn**	**10.9**	**10.9**	**11.9**	**11.2**	**12.3**	**12.8**	**13.6**
EPS	US$ps	6.7	6.7	7.3	6.9	7.6	7.9	8.39
EPS growth	%	(8%)	0%	10%	(6%)	10%	3%	7%
DPS	US$ps	4.0	4.0	4.4	4.2	4.6	4.8	5.0
Payout ratio	%	60%	60%	60%	61%	60%	60%	60%
Dividend yield	**%**	**4%**	**4%**	**4%**	**4%**	**5%**	**5%**	**5%**
Cash flow								
Operating cash flow (OCF)	US$bn	15.6	16.8	19.0	19.0	19.9	20.2	21.3
Capex (incl. exploration)	US$bn	(9.6)	(12.3)	(11.2)	(9.9)	(10.1)	(11.2)	(11.8)
Acquisitions, divestments, other	US$bn	0.0	(7.0)	(0.1)	(0.3)	0.2	0.4	0.7
FCF - excluding dividends	**US$bn**	**6.0**	**-2.5**	**7.7**	**8.8**	**10.1**	**9.4**	**10.2**
FCF yield	**%**	**4%**	**(2%)**	**5%**	**6%**	**6%**	**6%**	**6%**
Dividends	US$bn	(7.0)	(6.1)	(7.2)	(6.7)	(7.1)	(7.6)	(8.0)
Buybacks and shares issued	US$bn	1.6	1.6	0.0	0.0	0.0	0.0	0.0
FCF - before debt	**US$bn**	**0.6**	**(7.0)**	**0.4**	**2.1**	**3.0**	**1.9**	**2.3**
Balance sheet and Returns								
Net Debt/(Cash)	**US$bn**	**4.1**	**14.4**	**13.7**	**12.2**	**9.7**	**8.4**	**6.7**
Cash	US$bn	8.5	8.9	8.7	9.8	12.2	13.0	14.2
Gearing (ND/E)	**%**	**7%**	**18%**	**16%**	**14%**	**10%**	**9%**	**7%**
Leverage ratio (ND/EBITDA)	x	0.2x	0.6x	0.5x	0.4x	0.3x	0.3x	0.2x
ROA	%	11%	8%	8%	8%	8%	8%	8%
ROCE	**%**	**19%**	**17%**	**14%**	**13%**	**13%**	**13%**	**13%**
Total Shares O/S	mn	1.62	1.62	1.62	1.62	1.62	1.62	1.62
Divisional EBITDA								
Iron ore	US$bn	16.1	14.6	12.8	12.8	14.1	14.7	15.1
Aluminium	US$bn	3.7	4.4	5.4	3.4	3.7	3.8	4.3
Copper	US$bn	3.3	7.3	10.4	10.1	11.1	11.3	11.1
Lithium	US$bn	0.0	0.2	0.7	0.8	0.7	0.8	1.3
Minerals	US$bn	1.3	0.9	0.9	1.2	1.4	1.3	1.3
Group and other	US$bn	(1.1)	(2.0)	(1.1)	(0.8)	(0.7)	(0.7)	(0.8)
Total underlying EBITDA	**US$bn**	**23.3**	**25.4**	**29.1**	**27.6**	**30.3**	**31.2**	**32.4**
Divisional Capex (consolidated)								
Iron ore (incl Simandou)	US$bn	4.8	6.3	6.5	5.5	5.1	5.0	5.3
Aluminium	US$bn	1.7	2.0	1.4	1.2	1.3	1.1	1.0
Copper	US$bn	2.3	2.1	1.3	1.2	1.5	2.7	3.4
Lithium	US$bn	0.0	1.4	1.1	1.2	1.4	1.6	1.4
Minerals	US$bn	0.8	0.7	0.8	0.7	0.7	0.6	0.6
Total Capex (excl. Exploration)	**US$bn**	**9.7**	**12.5**	**11.1**	**9.8**	**10.0**	**11.1**	**11.7**
Guidance				~11	~10			
Sustaining	**US$bn**	**3.9**	**4.9**	**4.7**	**4.7**	**4.9**	**4.7**	**4.6**
Guidance				~4				
Growth	**US$bn**	**5.8**	**7.6**	**6.5**	**5.1**	**5.0**	**6.4**	**7.0**
RIO share of capex	**US$bn**	**8.7**	**12.3**	**11.2**	**10.3**	**10.3**	**11.0**	**10.9**

RIO 12m PT	US$/sh	A$/sh
NAV	137.3	196.1
NTM EV/EBITDA	113.1	161.6
Price Target (RIO.AX)		**178.9**
Current Share Price	-	165.5
Upside / (Downside)	**%**	**8%**

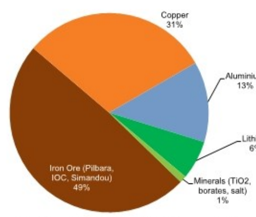
GS Recommendation	NEUTRAL

NAV Valuation	US$bn	US$/sh	A$/sh
Iron Ore (Pilbara, IOC, Simandou)	125.7	77.5	110.7
Copper	78.2	48.2	68.8
Aluminium	33.5	20.6	29.5
Lithium	16.3	10.0	14.3
Minerals (TiO2, borates, salt)	2.9	1.8	2.5
Divisional Subtotal	**256.5**	**158.1**	**225.9**
Corporate	(6.7)	(4.1)	(5.9)
Provisions & Rehab	(15.4)	(9.5)	(13.5)
Exploration (expense)	(1.9)	(1.2)	(1.7)
Exploration (success)	5.0	3.1	4.4
Total Corporate	**237.5**	**146.4**	**209.2**
Net (Debt)/Cash	(14.8)	(9.1)	(13.0)
RIO NAV (8.5%)	**222.8**	**137.3**	**196.1**
P/NAV			**0.84**

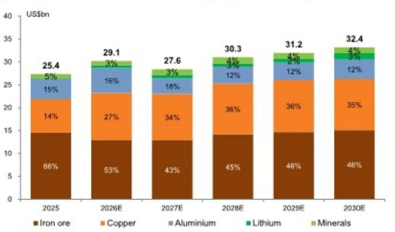
RIO EV/EBITDA Scorecard	
Median sector multiple	**5.0x**
Financial metrics	
Gearing	Neutral
EPS growth	Positive
FCF growth	Positive
Capital management outlook	Positive
ROCE	Positive
Operating metrics	
Mine life	Positive
Cost/margin position	Positive
CuEq growth - 2yr outlook	Positive
Operating/sovereign risks	Neutral
Adjusted multiple	**7.0x**

US$bn	2026E	2027E	NTM
NTM EBITDA split	50%	50%	
EBITDA	29.1	27.6	**28.3**
Valuation	**US$bn**	**US$/sh**	**A$/sh**
NTM EBITDA	28.3		
EV/EBITDA	7.0x		
Enterprise value	**198.4**	**122.3**	**174.6**
Net (debt)/cash	(14.8)		
Equity Value	**183.6**	**113.1**	**161.6**

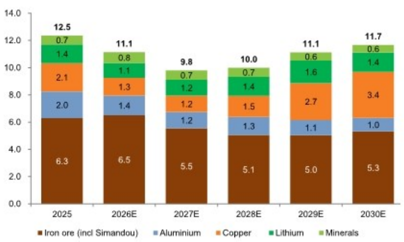
RIO Divisional NAV Breakdown



Divisional EBITDA Spilt (US$bn and %)



Divisional Capex (US$bn)



Source: Company data, Goldman Sachs Global Investment Research, FactSet

Exhibit 2: RIO PT, NAV and earnings revisions

	YE	Crncy		Rating	Price Target A$/sh	NAV A$/sh	EBITDA ($bn) 2026	EBITDA ($bn) 2027	EBITDA ($bn) 2028	EPS (cps) 2026	EPS (cps) 2027	EPS (cps) 2028
RIO	Dec	USD	Previous	Neutral	178.4	194.6	29.3	27.4	30.3	757	681	762
			Current	**Neutral**	**178.9**	**196.1**	**29.1**	**27.6**	**30.3**	**734**	**690**	**761**
			% Change	-	0%	1%	(1%)	1%	0%	(3%)	1%	0%

Source: Goldman Sachs Global Investment Research

Key 2Q 2026 figures & 2026 guidance vs. GSe and consensus

Exhibit 3: RIO 2Q26 operating results

		Jun'25	Sep'25	Dec'25	Mar'26	Jun'26			QoQ	PcP	vs GSe	vs Cons
		Act	Act	Act	Act	Act	GSe	VA Cons	Diff	Diff	Diff	Diff
Pilbara shipments (100%)	Mt	79.9	84.3	91.3	72.4	85.3	84.3	83.4	18%	7%	1%	2%
Pilbara production (100%)	Mt	83.7	84.1	89.7	78.8	83.5	83.3	82.7	6%	(0%)	0%	1%
Bauxite	Mt	15.6	16.4	15.4	13.3	15.2	15.3	15.2	14%	(3%)	(1%)	0%
Alumina	kt	1,815	1,888	1,969	2,038	2,002	2,033	1,990	(2%)	10%	(2%)	1%
Aluminium (primary, excl secondary)	kt	842	855	850	836	841	843	847	1%	(0%)	(0%)	(1%)
Copper production (consolidated)	kt	229	204	240	229	213	227	215	(7%)	(7%)	(6%)	(1%)
Bingham Canyon	kt	40	13	38	34	20	33	30	(41%)	(50%)	(40%)	(33%)
Escondida	kt	102	102	98	93	96	95	89	3%	(6%)	1%	7%
Oyu Tolgoi (100%)	kt	87	89	104	102	97	99	95	(5%)	12%	(2%)	2%
Lithium carbonate equivalent	kt	12	13	15	13	15	15	13	15%	20%	(1%)	9%
Titanium dioxide slag	kt	269	261	222	218	227	267	247	4%	(16%)	(15%)	(8%)
Fe pellets & conc (IOC)	Mt	2.5	2.3	2.2	2.0	2.9	2.5	2.4	43%	17%	17%	20%
Simandou production (100%)	Mt	-	-	2.3	0.6	0.7	3.0	2.2	23%	--	(77%)	(68%)
Simandou sales (100%)	Mt	-	-	0.0	0.0	0.4	1.0	1.4	--	--	(60%)	(72%)

Mined copper guidance include OT on a 100% basis.

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

Exhibit 4: RIO 1H26 realised pricing

		1H'25	2H'25	1H'26			PcP	vs GSe	vs Cons
		Act	Act	Act	GSe	Cons	%	%	%
Platts Fe 61%	**CIF, US$/t**	100.7	104.0	**105.0**	**104.6**		**4%**	**-**	**-**
Pilbara iron ore	**FOB, US$/wmt**	82.5	83.2	**85.2**	**82.4**		**3%**	**3%**	**-**
Pilbara iron ore	**FOB, US$/dmt**	89.7	90.3	**92.6**	**89.6**	**95.9**	**3%**	**3%**	**(3%)**
Aluminium	**US$/t**	3,125	3,440	**4,343**	**4,178**	**4,223**	**39%**	**4%**	**3%**
Copper	**USc/lb**	436	482	**591**	**627**	**580**	**36%**	**(6%)**	**2%**
IOC Pellets	**US$/wmt**	130.0	126.5	**124.9**	**127.8**	**141.4**	**(4%)**	**(2%)**	**(12%)**
Lithium, LCE	**US$/t**	15,580	10,035	**18,960**	**21,045**		**22%**	**(10%)**	**-**

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

Exhibit 5: 2026 Guidance vs GSe & Visible Alpha Consensus Data

Guidance	Units	2025	2026				
Production		Act	GSe previous	GSe	Guidance	Consensus	previous
Pilbara shipments (100%)	Mt	326	328	330	323-338	329	
Pilbara production (100%)	Mt	327	332	333		332	
Simandou shipments (100%)	Mt	0	7	6	5-10	8	
Bauxite	Mt	62	60	60	58-61	59	
Alumina	kt	7,592	8,013	7,964	7,600-8,000	7,887	
Aluminium (primary only)	kt	3,376	3,395	3,368	3,250-3,450	3,381	
Mined Copper	kt	883	905	864	800-870	864	
Refined Copper	kt	190	204	171		193	
Total Copper	kt	1,073	1,109	1,035		1,057	
Titanium dioxide slag	kt	1,005	1,090	1,090		1,019	
Fe pellets & conc (IOC)	Mt	9.3	9.4	8.7	8.9-10.6		
Lithium (LCE)	kt	58	65	65	61-64	51	
Pilbara Cash Costs (FOB)	US$/dmt	23.5	25.9	25.6	23.5-25.0	25.2	
Copper Cash Costs (net credits)	USc/lb	96	43	34	30-50	51	65-75
Aluminium	USc/lb	124	125	126		136	
Alumina	US$/t	385	356	358		357	
Bauxite (FOB)	US$/t	20	25	25		34	
Total Capex	US$bn	12.5	10.9	11.1	~11	11.2	
Sustaining	US$bn		4.5	4.7	~4		

Source: Company data, Goldman Sachs Global Investment Research, Visible Alpha Consensus Data

PT methodology and investment risks

- Our 12m PT is set at an equal 50:50 blend of NAV and EV/EBITDA with a 7.0x target multiple (unchanged).
- **Upside Risks:** (1) Macro factors: FX (weaker AUD), higher commodity prices over the next 12 months, (2) further cost out and lower capex, (3) higher production and guidance (4) approvals and acceleration of longer-dated growth projects (Resolution), (5) external M&A and asset sales.
- **Downside Risks:** (1) Iron ore and base metal price weakness, (2) WA Heritage challenges and possible impacts to permitting timelines and operations in the Pilbara, (3) Delays to growth (Oyu Tolgoi, Pilbara, Simandou, Lithium, Escondida) & decarbonisation projects, (4) Higher capex and opex due to industry cost inflation.

RIO.AX	12m Price Target: **A$178.90**	Price: **A$165.47**	Upside: **8.1%**

Neutral

Market cap: A$268.7bn / $187.7bn
Enterprise value:
A$288.3bn / $201.4bn
3m ADTV: A$228.6mn / $162.0mn
Australia
ANZ Resources
M&A Rank: 3
Leases incl. in net debt & EV?:
Yes

GS Forecast

	12/25	12/26E	12/27E	12/28E
Revenue ($ mn) New	**57,642.5**	**60,357.7**	**60,064.4**	**64,221.8**
Revenue ($ mn) Old	57,642.5	60,506.8	59,895.0	64,266.9
EBITDA ($ mn)	22,506.5	26,232.0	25,351.1	27,846.6
EPS ($) New	**6.70**	**7.34**	**6.90**	**7.61**
EPS ($) Old	6.70	7.57	6.81	7.62
FCF yield (%)	(2.0)	4.1	4.7	5.4
Dividend yield (%)	5.2	3.8	3.6	4.0
EV/EBITDA (X)	5.5	6.9	7.2	6.5
ROCE (%)	16.6	14.4	13.1	13.4

	12/25	6/26E	12/26E	6/27E
EPS ($)	3.76	3.81	3.53	3.28

Source: Company data, Goldman Sachs Research estimates, FactSet. Price as of 15 Jul 2026 close.

Disclosure Appendix

Reg AC

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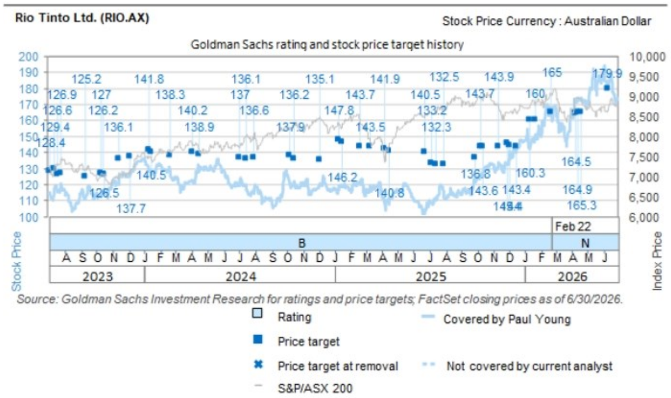

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Target price history table(s)
Rio Tinto Ltd. (RIO.AX)

Date of report	Target price (A$)	Closing price (A$)
08-Jul-26	178.40	163.85
10-Jun-26	179.90	179.44
21-Apr-26	165.30	173.86
13-Apr-26	164.90	172.07
09-Apr-26	164.50	171.76
22-Feb-26	165.00	163.30
21-Jan-26	160.00	150.10
12-Jan-26	160.30	142.43
17-Dec-25	143.40	141.40
04-Dec-25	144.00	140.58
30-Nov-25	145.40	132.28
12-Nov-25	143.90	132.47
14-Oct-25	143.60	127.43
08-Oct-25	143.70	125.29
29-Sep-25	136.80	121.25
30-Jul-25	132.50	115.81
16-Jul-25	132.30	110.52
07-Jul-25	133.20	108.62
25-Jun-25	140.50	104.30
16-Apr-25	140.80	108.37
08-Apr-25	141.90	109.48
12-Mar-25	143.50	117.23
20-Feb-25	143.70	120.09
16-Jan-25	146.20	119.61
09-Jan-25	147.80	116.45
04-Dec-24	135.10	120.08
16-Oct-24	136.20	120.78
08-Oct-24	137.90	120.99
31-Jul-24	136.60	117.48
16-Jul-24	136.10	116.81
02-Jul-24	137.00	119.63
17-Apr-24	138.90	128.72
03-Apr-24	140.20	123.06
21-Feb-24	138.30	125.80
16-Jan-24	140.50	126.66
10-Jan-24	141.80	128.90
06-Dec-23	137.70	126.45

Date of report	Target price (A$)	Closing price (A$)
14-Nov-23	136.10	122.49
17-Oct-23	126.50	117.11
15-Oct-23	126.20	114.74
10-Oct-23	127.00	112.20
11-Sep-23	125.20	112.40
26-Jul-23	126.90	120.81
19-Jul-23	126.60	116.01

Price targets shown in table(s) are unadjusted for corporate actions.

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